

Options III

Strategies

Explained so simply a 10-year-old gets it

Snapping options together like Lego — spreads, condors, straddles, and income plays — to shape risk and match an exact view on direction, volatility, and time.

Stock Market Mastery Roadmap • Advanced Level
Educational only — not investment, trading, or tax advice.

Single options are like single Lego bricks. **Strategies** are what you *build* by snapping two or more together — shapes that control your risk and match an exact view. The pro secret: a spread turns **scary unlimited risk into a known, sized bet**. Let's build the toolkit.

EVERY STRATEGY IS A BET ON THREE THINGS

When you pick a strategy you're quietly choosing a view on **direction** (up/down/sideways), **volatility** (calm or wild), and **time** (fast or slow). A good trader asks all three questions before choosing a shape — not just "will it go up?"

Directional with defined risk (spreads)

Want a direction bet **without** unlimited risk? Combine two options so one **caps** the other:

Strategy	Your view	How it's built
Bull call spread	up (moderate)	buy a call, sell a higher call (pay a small debit)
Bear put spread	down (moderate)	buy a put, sell a lower put (pay a small debit)
Bull put spread	up / sideways	sell a put, buy a lower put (collect a credit)
Bear call spread	down / sideways	sell a call, buy a higher call (collect a credit)

The two you **pay** for are **debit spreads**; the two you **get paid** for are **credit spreads**. Either way, your **max loss is known before you enter** — that's the whole point.

↔ Neutral / range: betting on "not much happens"

- **Short straddle** — sell a call *and* a put at the **same strike**; you win if price stays put (but risk is large if it moves).
- **Short strangle** — same idea with **wider** strikes; a bigger calm zone, still large risk.
- **Iron condor** 🦅 — a short strangle with **protective wings** added → **defined risk** — the income trader's favourite.
- **Iron fly** — a short straddle with wings → tighter, higher premium, defined risk.

WHY ADD "WINGS"?

Selling a naked straddle/strangle earns premium but has **scary open-ended risk** (remember Chapter 14!). Buying cheap far-off options as "**wings**" caps the disaster — turning it into an **iron condor / iron fly**. You give up a little premium to **sleep at night**. Almost always worth it.

Volatility plays: betting on a BIG move

- **Long straddle / strangle** — **buy** a call and a put; you win if price makes a **big move either way** (great before uncertain events — but beware IV crush after).
- **Calendar spread** — sell a **near** option, buy a **far** one at the same strike — profits from time decay + rising vol.
- **Diagonal spread** — like a calendar but with **different strikes** too — adds a directional tilt.

Income & stock strategies

Strategy	What it does
Covered call	own the stock, sell a call on it → earn rent, cap the upside
Cash-secured put	sell a put with cash set aside → get paid to <i>maybe</i> buy lower
Protective put	own the stock, buy a put → insurance against a crash
Collar	covered call + protective put → rent <i>and</i> insurance, both capped

Advanced shapes (a peek)

- **Ratio spreads** — buy and sell **unequal numbers** of options — cheaper, but re-introduces some open risk (handle with care).
- **Butterflies**  — a precise, low-cost bet that price lands **near one exact strike** at expiry — small risk, high reward if you're right.

Choosing strikes, width & expiry (and adjusting)

- **Strike** decides your **odds vs payoff** — closer strikes = higher chance, smaller reward.
- **Width** (gap between legs) sets your **max risk and reward** in defined-risk trades.
- **Expiry** decides how much **theta and vega** you're taking on.
- **Adjustment / rolling** — if the trade goes against you, **roll** (move a leg to a new strike/expiry), **hedge**, or **cut** — planned in advance, never improvised.

Key ideas to remember

- **Spreads convert unlimited risk into defined, sized risk** — this is the **professional default**, not naked positions.
- **Every strategy is a bet on direction AND volatility AND time** — choose the shape that matches all three of your views.
- **Adjustment is a skill.** Knowing *when* to roll, hedge, or exit **beats hoping**. A plan made calmly always beats a panic decision.

PRACTICAL EXERCISES

-  **Paper-trade a bull put spread and an iron condor to expiry.** Write down **max profit, max loss, and breakevens BEFORE** entering — every time.
-  **Take one directional idea and express it three ways** (future, long option, spread). Compare the **risk, cost, and payoff** side by side.
-  **Build an adjustment plan** for a short strangle: exactly **what you'll do if price approaches each strike**.

REAL-WORLD APPLICATION

-  **Defined-risk spreads and condors are the bread-and-butter of consistent option income** — high win-rate, **capped loss**, and survivable through the **inevitable bad weeks**. The goal isn't a hero trade; it's a repeatable edge you can run for years without blowing up.

ONE-LINE SUMMARY

Snap options together to shape risk: **debit/credit spreads** for defined-risk direction, **iron condor/fly** for calm ranges (always add **wings**), **long straddle/calendar** for volatility, and **covered call / CSP / collar** for income and protection. Every trade is a bet on **direction + volatility + time** — pick strikes, width, and expiry to fit, and **plan your adjustments before you enter**.